Chapter Forty-Six

Seventy-Five Years of Economic Policymaking: Major Lessons Learnt

India has nearly seventy-five years of experience in economic policymaking and execution as an independent nation. The country has come a long way from being a predominantly poor, largely agricultural and rural, almost entirely illiterate and pathetically malnourished nation to become a food surplus, agriculturally self-reliant, rapidly urbanizing, highly literate and globally integrated $3 trillion economy, now the sixth largest economy in the world. We have certainly come a long way.

But there are still miles to go. India has the second largest number of poor. Agriculture still supports about 50 per cent of the population. Manufacturing has not really taken off. The economy is still quite inward-looking and has missed the opportunity of achieving sustained export-led industrial growth. About one-fifth of our children are stunted and malnourished. The economy is still only $3 trillion strong, whereas the Chinese economy is five times larger at $15 trillion. We must not forget that India and China were almost at the same level in the 1970s.

Evidently, we could have done better. We possibly got our democratic model of governance right but the economic model of socialist pattern of society proved wrong. There were several other policy choices that proved to be wrong or suboptimal. We can draw valuable lessons from our economic policymaking experience by placing it in the context of global economic policymaking and performance.

Here is my pick of ten major policy lessons.